

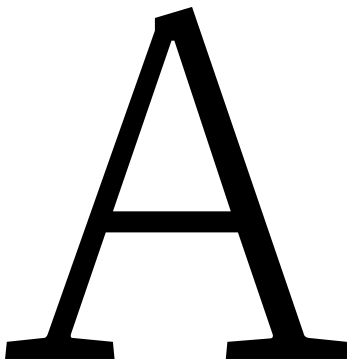


A Debate Over Guidelines

Recent guidelines issued by the CBDT seem to have overreached the ambit of the provisions of Section 194R

BY DINESH KANABAR

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A RECENT CIRCULAR issued by the Central Board of Direct Taxes (CBDT) containing guidelines under the provisions of Section 194R (2) of the Income-tax Act, 1961, has given rise to a huge debate. Section 194R was introduced by the Finance Act, 2022, to provide that tax should be deducted at 10 per cent on provision of any benefit or perquisite arising from business or the exercise of profession carried on by a recipient (other than an individual/HUF who are not subjected to tax audit). The Section came into effect from July 1, 2022. This Section was introduced as such benefits and perquisites are taxable under Section 28 (iv) of the Act and it was felt that the recipients do not report their receipt in their tax returns and that the tax authorities may not be able to detect evasion. The need to withhold taxes would cast responsibility on the provider of such benefit

or perquisite to withhold taxes and report such provision, which could then be appropriately dealt with during assessment proceedings. While the provision to withhold taxes is understandable, the way the circular has overreached the ambit of the provisions is what has led to the debate.

Clearly, Section 194R becomes applicable only when a benefit or perquisite has arisen under Section 28 (iv) of the Act and not otherwise. Section 194R (2) provides that the CBDT is empowered to issue a circular to “remove difficulties” in giving effect to the provisions of Section 194R. It further provides that such a circular would be issued with the prior approval of the central government, would be laid before Parliament and would be binding on the tax authorities as well as the persons providing such benefit or perquisite. This is in sharp contrast to Section 119 of the Act under which the CBDT can issue a circular which is binding on the tax authorities but not on taxpayers and

the judiciary. It merits to be noted that the ability to issue the circular is to “remove difficulties” that may arise in giving effect to the provisions of the Section; however, this circular (as we will analyse) deals with the interpretation of the Section, enlarges the scope of it beyond the provisions of Section 28 (iv) of the Act, has requirements that are inconsistent with principles laid down by the courts (including the Supreme Court) and, to an extent, undermines the basic tenets of taxation of income.

For Section 28 (iv) of the Act to apply, the benefit or perquisite should be: (a) arising from the business or exercise of the profession; (b) a benefit or perquisite from the perspective of the recipient; and (c) received in kind (whether convertible into money or not). It is only when a receipt meets all these three conditions that it would be taxable under Section 28 (iv) and would consequently be liable to withholding tax under Section 194R of the Act.